WHAT INDIA GAINS

FOR CONSUMERS: LOWER PRICES ACROSS PRODUCTS

	Current duty	Final duty
Cars*	110%	10%
Wine	150%	75%#
Spirits	150%	40%
Beer	110%	50%
Olive oil	45%	0%**
Chocolates, bakery	Up to 50%	0%
Pharmaceutical products	11%	0%
Sausages & other meat	Up to 110%	50%

** Subject to quotas and price cap of Rs 25 lakh and above; #Once agreement is implemented; ** 5 years*

FOR EXPORTERS: ZERO-DUTY ACCESS TO $20 TN MARKET

	Current duty	Final duty
Marine products	Up to 26%	0%
Base metals	Up to 10%	0%
Leather	Up to 17%	0%
Chemicals	Up to 12.8%	0%
Textiles and garments	Up to 12%	0%
Home decor, furniture	Up to 10.5%	0%
Toys & sports goods	Up to 4.7%	0%
Gems & jewellery	Up to 4%	0%

Current duty | Final duty

A DEAL OF SCALE

The pact spans traditional areas such as goods and services, trade remedies (anti-dumping et al), rules of origin, customs and trade facilitation, alongside newer focus areas like small and medium enterprises, and digital trade. The agreement grants India market access for over 99 per cent of its exports to the EU by value. Beyond goods, it delivers high-value commitments in services, backed by a comprehensive mobility framework to facilitate the movement of skilled Indian professionals. Calling it "the mother of all deals", von der Leyen said, "We have created a free trade zone of two billion people, with both sides set to gain economically. We have sent a signal to the world that rules-based cooperation still delivers great outcomes." This deal is expected to double EU goods exports to India by 2032 by eliminating or reducing tariffs on close to 97 per cent of goods. Overall, the tariff reductions will save around €4 billion (over Rs 50,000 crore) per year in duties on European products, she said. "Both India and the EU want to reduce their dependence on the US due to the policy uncertainties that exist today," says trade policy expert Biswajit Dhar. The EU aims to remedy that while also addressing its Rs 1.3 lakh crore trade deficit with India.

India's labour-intensive sectors, such as textiles, apparel, leather, footwear, marine products, gems and jewellery, handicrafts, engineering goods and automobiles, get a boost, with tariffs on almost $33 billion (Rs 3 lakh crore) of exports being brought down to zero (see *What India Gains*). A quota-based auto liberalisation package will not only allow EU auto-makers to introduce their models in India in higher price bands but also open the possibilities for Make in India and exports from India in future, said the ministry of commerce and industry. The deal could also create a level-playing field for Indian farmers and agrarian enterprises. On services, India's access to the EU's 144 subsectors, which include IT/ITeS, will enable Indian players to offer world-class services to European consumers. In turn, the EU's access to 102 Indian subsectors is expected to bring hi-tech services and investment into the country.

STRINGS ATTACHED

Experts note that despite clear benefits for the EU, non-tariff barriers could make the pact difficult for India. "The 99 per cent tariff elimination will not be a freebie, it will have conditions," says Dhar. For instance, the EU's Carbon Border Adjustment Mechanism that taxes carbon emissions during production of goods like steel, cement and fertilisers could sharply raise Indian companies' production costs. Labour norms could also come a cropper. "India has not ratified two major labour laws of the International Labour Organization. In our Labour Code, we have added a lot more flexibility, which may not go well with EU stakeholders," Dhar says, adding that the government and businesses should be prepared for the entry of goods and services from the EU under the deal. ■